DSEH004 Performance Management and Employee Engagement

Week 11 | Lecture 3 | Unit IV

Making the Case for People Strategy

Evidence-based management and how to argue for an HR priority to a board

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Commit before theory

You have two minutes with the board to argue for a manager capability program. What should you lead with?

A The research on engagement

B The business problem the program solves, with a number

C The program design and cost

D Employee stories

Evidence-based management

1 Research evidence

Best available scientific findings

2 Firm data

Facts and figures from the firm itself

3 Expert judgment

Experience of practitioners

4 Stakeholder values

Concerns of those affected

Rousseau (2006): decisions improve when these sources are combined explicitly, not when one dominates

The structure of a board argument

Problem

A business risk in the board's language, with one number

Diagnosis

Why it happens, with evidence from data and research

Options

Two or three choices, including doing nothing

The ask

One decision, its cost, and how success will be judged

Linking people metrics to business outcomes

1 Line of sight

Boswell (2006): employees who understand how they contribute to strategy behave in more aligned ways

2 Outcome links

Harter et al. (2010): work perceptions predicted later business outcomes

3 Honesty

State effect sizes and uncertainty; boards trust leaders who show limits

Weak and strong board arguments

A tempting reading	A better reading
Engagement is low, so we need a program	Turnover in pivotal roles costs a stated amount; engagement drivers explain part of it
Research proves this works	Research and our own pilot both point this way; here is what we will measure
We need budget for many initiatives	We ask for one decision now, and will stop one old program

Why boards say no

1 No business problem

The proposal starts from HR activity, not business risk

2 No measure

Success cannot be judged within a board cycle

3 No trade off

Nothing is stopped to fund what is started (Kotter, 1995, on failed transformations)

Writing the ask

Teaching case (Course framing)

A Bhopal cement company faces rising attrition of shift supervisors. Exit data show most leave within two years. A pilot coaching program in one plant coincided with fewer exits. HR wants to roll it out to five plants at a stated cost.

Work it through

1. Write the problem statement in one sentence
2. What evidence from the pilot is weak?
3. List the options, including doing nothing
4. Write the ask and the success measure

Exam-style question

Using evidence-based management, explain how an HR leader should build and present a case for a major people initiative to a board. (10 marks)

What a strong answer does

- Explains the sources of evidence and their combination
- Structures the argument from problem to ask
- Links people metrics to outcomes with honest uncertainty
- Names a trade off and a measure of success

Sources

Boswell, W. (2006). Aligning employees with the organization's strategic objectives: Out of line of sight, out of mind. International Journal of Human Resource Management, 17(9), 1489-1511. https://doi.org/10.1080/09585190600878071

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Kotter, J. P. (1995). Leading change: Why transformation efforts fail. Harvard Business Review, 73(2).

Rousseau, D. M. (2006). Is there such a thing as evidence-based management? Academy of Management Review, 31(2), 256-269. https://doi.org/10.5465/amr.2006.20208679